

Done!



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ECONOMICS

Paper 3 Multiple Choice (Supplement)

9708/32

May/June 2015

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.



Zarak Mushtaq
Solved with reasons!

This document consists of **11** printed pages and **1** blank page.

1 What need not pose a potential threat to allocative efficiency in a market economy?

monopoly

monopolistic

Option B'

- A externalities
- B differentiated products
- C monopolistic elements
- D perfect knowledge

Features of imperfect competition

→ Perfect competition → No advertising

2 A utility-maximising consumer spends the whole of his disposable income of \$40 on food and clothing.

The table shows the price of food, the quantity purchased by the consumer, and the marginal utility he derives from food consumption.

food	
price per unit	\$5
quantity demanded	5
marginal utility (units)	10

$$\frac{MU_F}{P_F} = \frac{10}{5} = 2^*$$

$$\$5 \times 5 \Rightarrow \$25$$

$$\$40 - \$25 \Rightarrow \$15$$

His marginal utility from clothing is 2 units.

What is the price of clothing per unit and the quantity purchased by the consumer?

	clothing	
	price (\$)	quantity (units)
A	0.5	30
B	1.0	15
C	3.0	5
D	5.0	3

$$\frac{MU_C}{P_C} = 2^* \rightarrow \text{Applying Equi-marginal principle}$$

$$\frac{2}{P_C} = 2$$

$$\frac{MU_F}{P_F} = \frac{MU_C}{P_C}$$

$$P_C = 1 \times 15 (\text{Qty}) = \$15$$

left for clothing

3 For the purposes of measuring the income effect of a change in the price of a good, what is not held constant?

- A consumer preferences
- B relative prices
- C the consumer's money income
- D the consumer's real income

Real income

as changes in price affects real income.

Concept covered under Substitution and income effect

$$\text{Real income \%} = \text{Nominal or money income \%} - \text{Inflation \%}$$

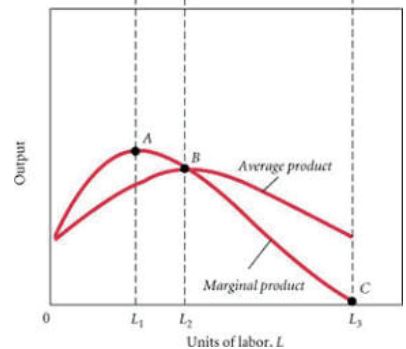
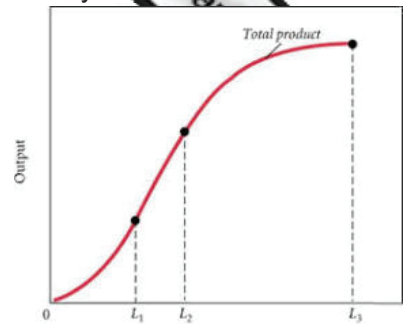
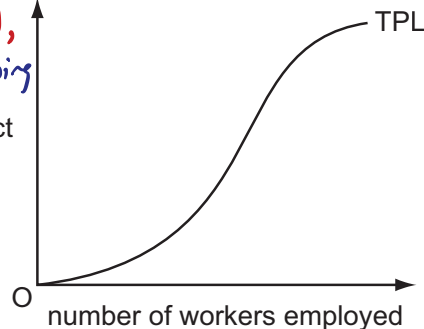
3

Small firm, small scale, short run

- 4 The diagram shows the total product of labour (TPL) curve for a firm whose only variable input is labour.

* As you use more of your variable factors (Labour) with your fixed factors (Land and capital), total output first increases at an increasing rate [MP↑] then increases at a decreasing rate [diminishing returns sets in]

total product of labour



What explains the shape of the curve?

- A diminishing marginal disutility of work
 B increasing marginal disutility of work
 C technical diseconomies of scale (large firm concept)
 D the law of variable proportions or Law of diminishing returns
 ↓
 Labour

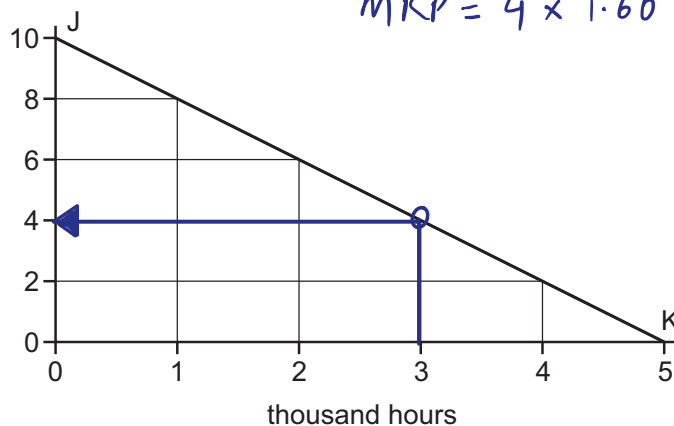
Production concept, not consumption

- 5 A firm operates under perfect competition in both product and factor markets with labour as the only variable factor input.

In the diagram, the line JK shows the relationship between the marginal physical product of labour and the hours worked:

$$MRP = 4 \times 1.60 \Rightarrow \$6.40$$

$$MRP = MPP \times MR(\text{Price})$$



Profit max level of employment :-

$$MRP = MC_L(\text{wage})$$

When the price of the product is \$1.60, the firm uses 3000 hours of labour.

What is the hourly wage?

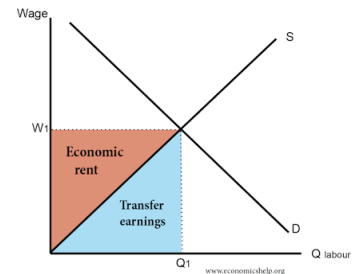
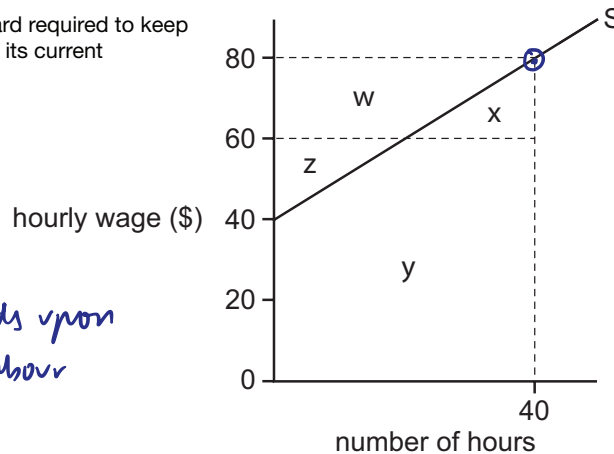
- A \$0.40 B \$2.40 C \$5.60 D \$6.40

6 The diagram shows an individual's supply of labour curve.

Transfer earnings are the minimum reward required to keep factors of production, such as labour, in its current occupation.

In economics, economic rent is any payment to an owner or factor of production in excess of the costs needed to bring that factor into production

* Economic rent depends upon elasticity of supply of labour



He is offered a job which would require him to work a standard 40-hour week.

Which area measures the lowest amount he would have to be paid per week to get him to accept this job offer?

- A $w + z$ ☒ B $x + y$ C $x + y - z$ D $w + x + z + y$ *Input*

7 What relationship does a firm's long-run production function describe?

$$Q = F(K, L)$$

- ☒ A the firm's output and the quantities of factor inputs employed *↓ output*
 B the firm's long-run average cost of production and the level of output *No*
 C the firm's long-run average cost of production and the quantities of factor inputs employed *No*
 D the prices of factor inputs and the quantities of factor inputs employed *No*

8 The table shows a firm's total and marginal costs.

output	total cost (\$)	marginal cost (\$)
0	300	
1	340	40
2	375	35
3	400	25
4	435	35
5	475	40

Average fixed cost = $\frac{TFC}{Q}$
 cost at zero level is fixed cost
 Fixed cost = \$300
 [340 - 40]

$$AFC = \frac{\$300}{6} = \$50$$

What is the average fixed cost of producing 6 units?

- ☒ A \$50 B \$60 C \$180 D \$300

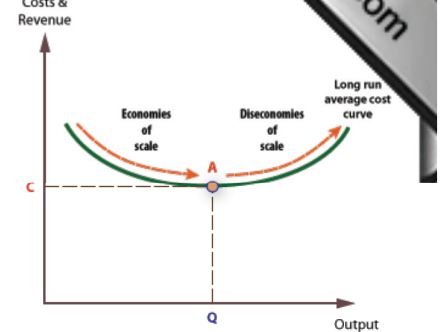
shift in LRAC upward
 Industry's effect
 5 Internal Diseconomies of scale
 ↑ e.g. Traffic congestion
 cost ↑

- 9 A firm experiences external diseconomies of scale and decreasing returns to scale.

How would these changes be illustrated on a cost curve diagram?

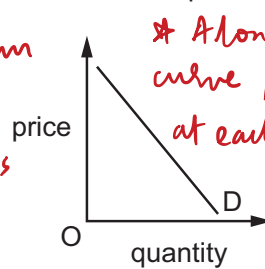
	shift in long-run average cost curve	movement along long-run average cost curve
A	downward	downward
B	downward	upward ✓
C	upward ✓	downward
D	upward ✓	upward ✓

movement in LRAC upward

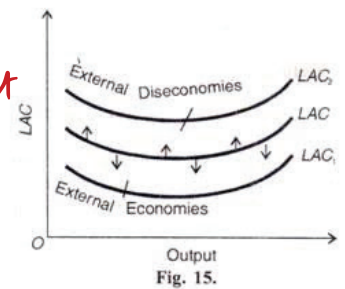


- 10 The diagram shows the demand curve for a firm's product.

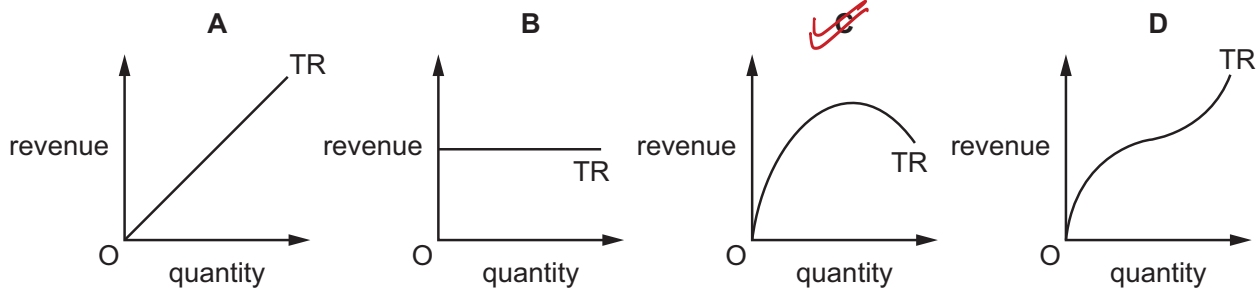
Option A:- Total revenue diagram under perfect competition
 Percentage change in quantity is equal to percentage change in total revenue



* Along the demand curve PED is different at each price.



Which diagram depicts the shape of the firm's corresponding total revenue (TR) curve?



Perfect competition or Oligopoly

- 11 The firms in an industry all produce a homogeneous product, but each firm is able to influence the price it charges for its own product.

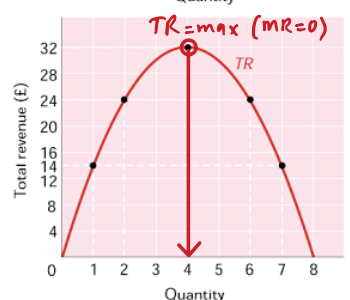
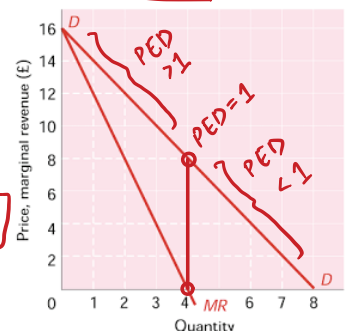
In which market structure do the firms operate?

A perfect competition (Price taker)

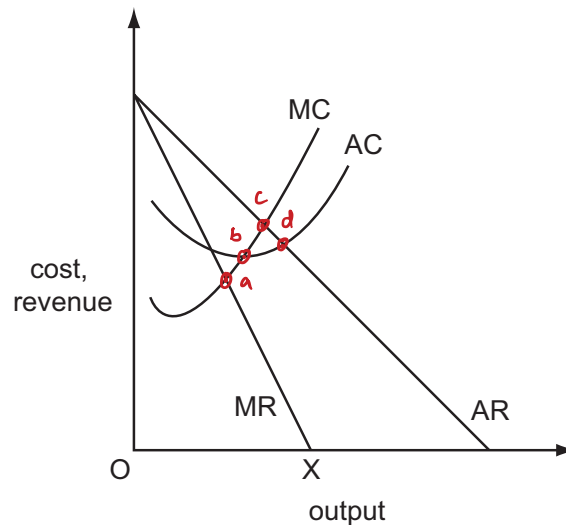
B monopolistic competition (Differentiated profits)

~~C~~ oligopoly [concept of price leadership, price discrimination etc!]

D monopoly (USP)

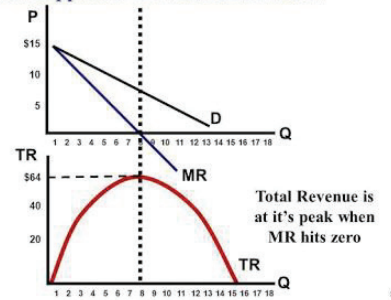


12 The diagram shows the cost and revenue curves of a monopoly.



Demand and Marginal Revenue Curves

What happens to TR when MR hits zero?



What is the firm's objective if it produces output OX? $MR=0$, $TR = \max$, Sales maximization

A to achieve normal profit ($AC = AR$)

B to maximise profit ($MC = MR$)

☒ C to maximise total revenue

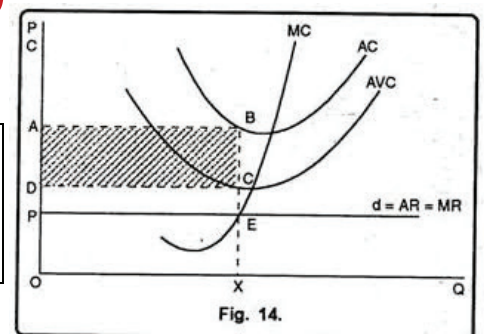
D to minimise average cost ($ATC = \min$) (Productivity efficient)

↓
Total revenue
maximum,
 $PED = 1$

13 The table shows information about a profit-maximising firm.

Shutdown situation as $AVC > AR$
Average Revenue
Average variable cost

price per unit	\$1.70
fixed costs	\$10 000
variable costs per unit	\$1.75



What can be concluded about the firm's behaviour?

A It should close down immediately because it is not covering its average costs.

☒ B It should close down immediately because it is not covering its variable costs.

C It should continue production in the long-run because it is covering its total costs.

D It should continue production in the short-run because it is covering its fixed costs.

14 When will a society have achieved an equitable distribution of income?

A when all individuals have 'equal' job opportunities

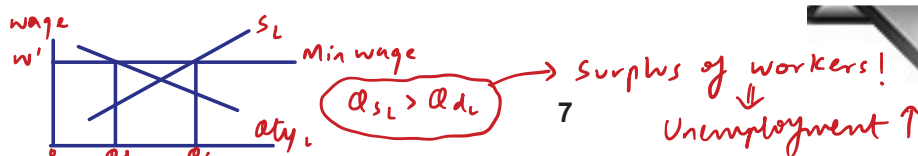
B when all workers are paid wages 'equal' to their marginal value product

C when the incomes within the society are 'equally' distributed

☒ D when the society believes that the distribution of income is fair

★ Equitable distribution is the distribution of property and debt obligations used by courts in most states when dividing marital property during divorce proceedings. Equitable distribution does not mean "equal" division – it means "fair" division.

Very important to know the difference between equal and equitable



- 15 The government introduces a minimum wage above the equilibrium market wage rate.

How will this affect low-paid workers?

A All those initially in employment will receive the new guaranteed minimum wage. ^{No}

B Fewer of those not already in employment will enter the labour force. ^{No}

C There will be an increase in the number of low-paid workers in employment. ^{No}

☒ D Some low-paid workers will lose their job. [wages ↑, cost ↑, Demand ↓, surplus of workers, unemployment]

- 16 A country's steel producers are members of a cartel. Each member is allocated a production quota and initially produces the maximum allowed under its quota.

What will be the effect on productive efficiency and on the industry's profits if the producers are allowed to trade the quotas amongst themselves?

	effect on productive efficiency	effect on profits
☒ A	improvement ✓	increase ✓
B	improvement ✓	no change
C	no change	increase ✓
D	no change	no change

Extract "Initially produces the maximum allowed" → productive efficiency ↑

Quota when traded → High price, so profits ↑

- 17 Which government policy would not be classified as regulation?

'Law' A bans on heroin and cocaine consumption Yes

'Law' B compulsory wearing of seatbelts in cars and coaches Yes

'Law' C licences for the extraction of water from lakes and rivers Yes

☒ D taxation of cigarettes and tobacco products [policy]

* LAW, GOVERNMENT the activity of checking that a business is following official rules or laws: This affects the operation and regulation of the accounting profession. They are looking at the replacement of government regulation by self-regulation and market mechanisms.

* Law: Rule based on and meant to carry out a specific piece of legislation (such as for the protection of environment). Regulations are enforced usually by a regulatory agency formed or mandated to carry out the purpose or provisions of a legislation. Also called regulatory requirement.

- 18 Other things being equal, the money supply in an open economy will increase if

A domestic banks increase their lending to foreign borrowers. [can't influence m^s]

☒ B the central bank buys foreign currency in the foreign exchange market.

C the government sells bonds to domestic residents. Money supply ↓

D there is an increase in the volume of imports to the economy. [Payment by individual and firms]

Central Bank will be required to pay our currency, in exchange of foreign currency, money supply will increase.

$$AE = C + I + G + X$$

8

19 Which is not an injection into a country's circular flow of national income?

- A inward direct investment by multinational corporations (*Injection*)
- B private gross domestic fixed capital formation (*Injection*)
- ✓ C the sale of government bonds to members of the public $m^s \downarrow, r \uparrow, \text{ saving } \uparrow$
- D wages paid to civil servants *Income generated* (*Injection*) $\downarrow$ [Leakage]

20 The national income is initially in equilibrium.

AET (Shift)

If there is an increase in exports, which change of equivalent value will restore national income to its initial equilibrium level? *RNI $\downarrow$*

- A a decrease in imports (*tilt*), also *RNI will further increase*
- ✓ B a decrease in investment $I \downarrow, AE \downarrow, RNI \downarrow$
- C an increase in government expenditure on goods and services (*shift*) $G \uparrow, AET \uparrow, RNI \uparrow$
- D a reduction in taxation $C \uparrow, AET \uparrow, RNI \uparrow$
tilt

21 In a closed economy with no government, investment increases by \$400.

$$\text{Investment Multiplier} = \frac{\text{Total Income}}{\text{Total Investment}}$$

At the new equilibrium level of income, consumption has increased by \$1200.

What is the value of the investment multiplier?

- A 2
- B 3
- ✓ C 4
- D 8

$$\text{Investment multiplier} = \frac{\$1200 + 400}{\$400} = 4$$

22 Assuming a constant income velocity of circulation of money, if the price level increases by 5% and the money supply grows by 2%, what will be the approximate change in real output (transactions)?

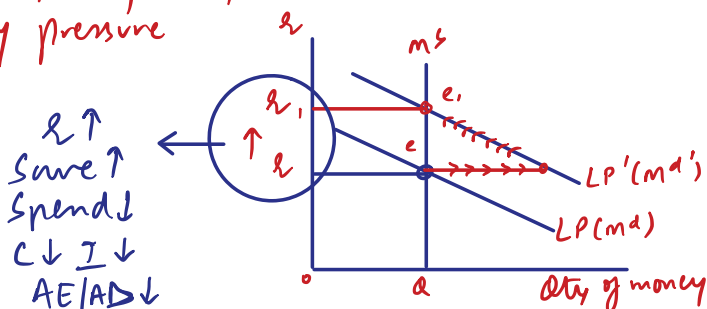
- ✓ A -3%
- B -2.5%
- C +3%
- D +7%

$$MV = PT \rightarrow \text{should be } 2\% = 5\% \uparrow [?] \text{ also } 2\% = 5\% [-3\%]$$

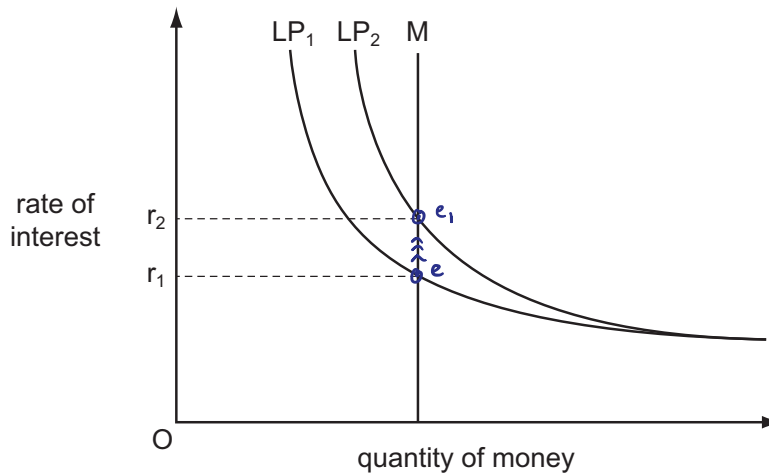
23 Why will an inflationary process be brought to a halt if the money supply is held constant?

- A Consumption will decrease as money incomes decline.
- B Government expenditure will have to be reduced as government revenues decline.
- ✓ C The rate of interest will rise as more money is required for transactions purposes.
- D The stimulus to invest will decline as the real burden of company debt rises.

* When there is existence of inflationary pressure, transactionary demand for money increases, money demand (LP) shifts right ward, interest rate will increase, which halts inflationary pressure



- 24 The diagram shows the determination of the rate of interest in the economy, where M represents the money supply and LP represents liquidity preference.



What could cause the rise in the rate of interest from r_1 to r_2 ?

- ☒ **A** an increase in national income *More income, more demand for $\bar{I} + P + S$*
B an increase in the money supply *(No link)*
C a reduction in investment expenditure *$I \downarrow$, $AE \downarrow$, Downward multiplier*
D a reduction in the loans made by the private sector *(Supply factor)*

- 25 An economy is experiencing economic growth. *(Actual or potential)*

What will be the effect on its rate of inflation, level of unemployment and current account surplus?

	rate of inflation	level of unemployment	current account surplus
A	lower	lower	lower
B	raise	lower	raise
C	raise	raise	uncertain ✓
☒ D	uncertain ✓	uncertain ✓	uncertain ✓

* Rate of inflation :-

Actual growth $\uparrow$, $AD \uparrow$, prices $\uparrow$
 potential growth $\uparrow$, $LRAS \uparrow$, prices controlled

* Level of Unemployment :-

Actual growth, $AD \uparrow$, unemployment $\downarrow$
 potential growth, $LRAS \uparrow$, unemployment $\uparrow$

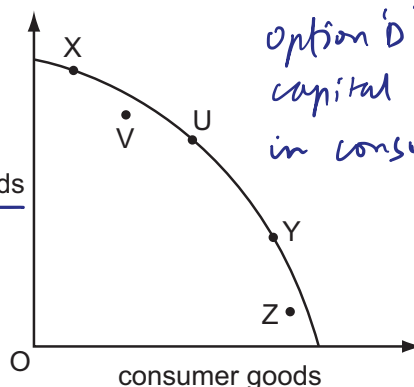
* current account surplus :-

Growth $\uparrow$ but Growth $\uparrow$
 output $\uparrow$ income $\uparrow$
 surplus $\uparrow$ $C \uparrow$
 prices $\downarrow$ Import $\uparrow$
 Export revenue $\uparrow$ Expenditure $\uparrow$
 surplus Deficit

- 26 The diagram shows a country's production possibility curve and a number of production points.

Option A:- capital goods ↑
 Option B:- capital goods ↑
 Option C:- capital goods ↑

capital goods
 ↓
 Long term development



Option D:- Decrease in capital goods and increase in consumer goods.

towards consumer goods

Which change in the country's output would be most likely to lead to a fall in potential growth?

- A U to V B U to X C Y to X ~~D Y to Z~~

- 27 A developing country receiving foreign financial aid is most likely to experience economic growth in the long-run if it uses the money to

A boost welfare benefits for the poorest households. (NO rolling of money)

~~B~~ pay for imports of capital goods. *machines ↑, output ↑, finished goods ↑, long term development*

C reduce environmental pollution. (No affecting economic growth)

D reduce income tax for all households. (Didn't use the money)

Efficiency ↑

Sale of Bonds, $M^s \downarrow$, $R \uparrow$

- 28 Increased borrowing by the government results in higher interest charges and this leads to less private investment expenditure.

Of what is this an example?

A an automatic stabiliser (associated with marginal Tax rate)

~~B~~ crowding out

C the accelerator (associated with induced investment)

D the substitution effect (Microeconomics) (movement along indifference curve)

Option A:-

Automatic stabilizers are economic policies and programs designed to offset fluctuations in a nation's economic activity without intervention by the government or policymakers on an individual basis.

Option B:-

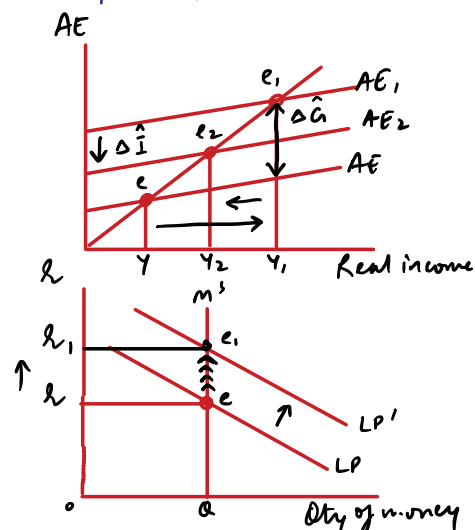
Definition: A situation when increased interest rates lead to a reduction in private investment spending such that it dampens the initial increase of total investment spending is called crowding out effect.

Option C:-

The accelerator effect in economics refers to a positive effect on private fixed investment of the growth of the market economy (measured e.g. by a change in Gross Domestic Product).

Option D:-

The substitution effect is the economic understanding that as prices rise — or income decreases — consumers will replace more expensive items with less costly alternatives.



29 The data below relate to a particular country for the four years shown:

Year	1	2	3	4
real GNP/head (Year 1 = 100)	100	110	121	121
life expectancy at birth (years)	65	64	65	67
% of age group enrolled in secondary education	40	38	42	42

What can definitely be concluded from these data?

- A Economic growth between Year 2 and Year 3 was 11%. (No)
- B The level of economic development was better in Year 2 than in Year 1.
- ☒ C There was both economic growth and an improvement in economic development between Year 2 and Year 3.
- D No conclusions can be drawn as to whether the level of economic development was better in Year 4 than Year 3.

Better, as 40% of age group enrolled in secondary education!
Long term

On Basis of life expectancy

30 A government's budget is balanced at a time when the economy is fully employed, but an aggregate demand shock causes a decline in national income.

AD ↓
What will be the result if the government keeps its tax rates and level of spending unchanged?

- ☒ A a cyclical budget deficit [Cyclical or Demand deficient Unemployment]
- B a cyclical budget surplus
- C a structural budget deficit
- ☒ D a structural budget surplus

↓
Due to lack of aggregate demand,
Deflation / recession

- ↓
- * Low incomes
 - * Less Tax revenue received
 - * more spending on unemployed

Fall in demand of particular Sector, workers become occupationally immobile.

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